

Legal Entity Structuring Proposal — TrueSight DAO

Prepared: 2026-06-22 | **Context:** SVH Capital cacao circle, June 26

1. Executive Summary

The convergence is accelerating. Nora (Kopi Bar, Berkeley) is onboarding. More partners are joining. Matheus channels exports through his private Brazilian entity. TrueTech Inc (Delaware C-corp) is the importing entity. Gary's personal bank account collects funds.

The signal is clear: the tax-write-off infrastructure in the USA jurisdiction is turning from grey to red.

Three structural options emerged from Tech Fest:

- **DUNA** (Wyoming) — Decentralized Unincorporated Nonprofit Association. Best for: DAO legal wrapper, nonprofit mission alignment, member liability protection.
- **Prospera / Wyoming DAO LLC** — For-profit DAO LLC. Best for: tokenized revenue sharing, profit distributions to members.
- **Brazilian CNPJ (LTDA)** — Limited liability company in Brazil. Best for: local export entity, cacao sourcing, Brazilian tax compliance.

Recommended: A three-entity stack — Wyoming DUNA (DAO wrapper) → TrueTech Inc (US import/distribution) → Brazilian LTDA (export/sourcing).

2. Current State Assessment

Financial Flows (Current)

Brazil Farmers → Matheus (private CNPJ) → Export → TrueTech Inc (DE C-corp) → Gary's personal bank account → DAO treasury / expenses

Key Risks

Risk	Severity
Personal liability — Gary's account commingles DAO funds	■ High
No member liability shield (Ooki DAO precedent)	■ High
No tax-advantaged donation pathway for impact funds	■ Medium
Brazil export compliance on Matheus's private entity	■ Medium

Current Ledger Snapshot

- Cumulative sales (all time): ~\$15,736 USD
- Monthly run rate (2026): ~\$500-1,100/month, trending up
- USD Treasury Balance: ~\$14,622
- AUM: ~\$28,144

Nora's Use Case (Catalyst)

Nora wants to channel a portion of each cup of cacao sold at Kopi Bar to rainforest restoration. For this to work as a tax write-off for her business, the receiving entity must be a qualified 501(c)(3) nonprofit or equivalent. A for-profit C-corp (TrueTech Inc) cannot issue tax-deductible receipts.

3. Option Analysis

Option A: Wyoming DUNA

Dimension	Detail
Liability	Members shielded from personal liability
Tax status	Nonprofit; can apply for 501(c)(3) status
Governance	Smart contract-based voting recognized by law
Minimum members	100 required
Profit distribution	■ Not allowed — reinvested in mission
Formation cost	\$100 filing + \$20K-\$60K legal
Annual cost	\$60-\$200 license tax

Pros: Mission alignment, tax-deductible receipts, impact fund compatible, on-chain governance recognized.

Cons: Cannot distribute profits to TDG holders, 100-member minimum, 501(c)(3) takes 6-12 months.

Option B: Wyoming DAO LLC

Dimension	Detail
Liability	Full LLC protection
Tax status	Pass-through (default)
Minimum members	None
Profit distribution	■ Allowed
Formation cost	\$100 filing + \$15K-\$50K legal

Pros: Can distribute to TDG holders, no minimum membership, lower legal fees.

Cons: ■ Cannot issue tax-deductible receipts — Nora's customers and impact funds cannot get write-offs.

Option C: Brazilian CNPJ (LTDA)

Pros: Formalizes Matheus's export operations, Brazilian tax compliance, direct farmer contracting.

Cons: Bureaucratic, ongoing compliance burden, does not solve US tax-deduction problem.

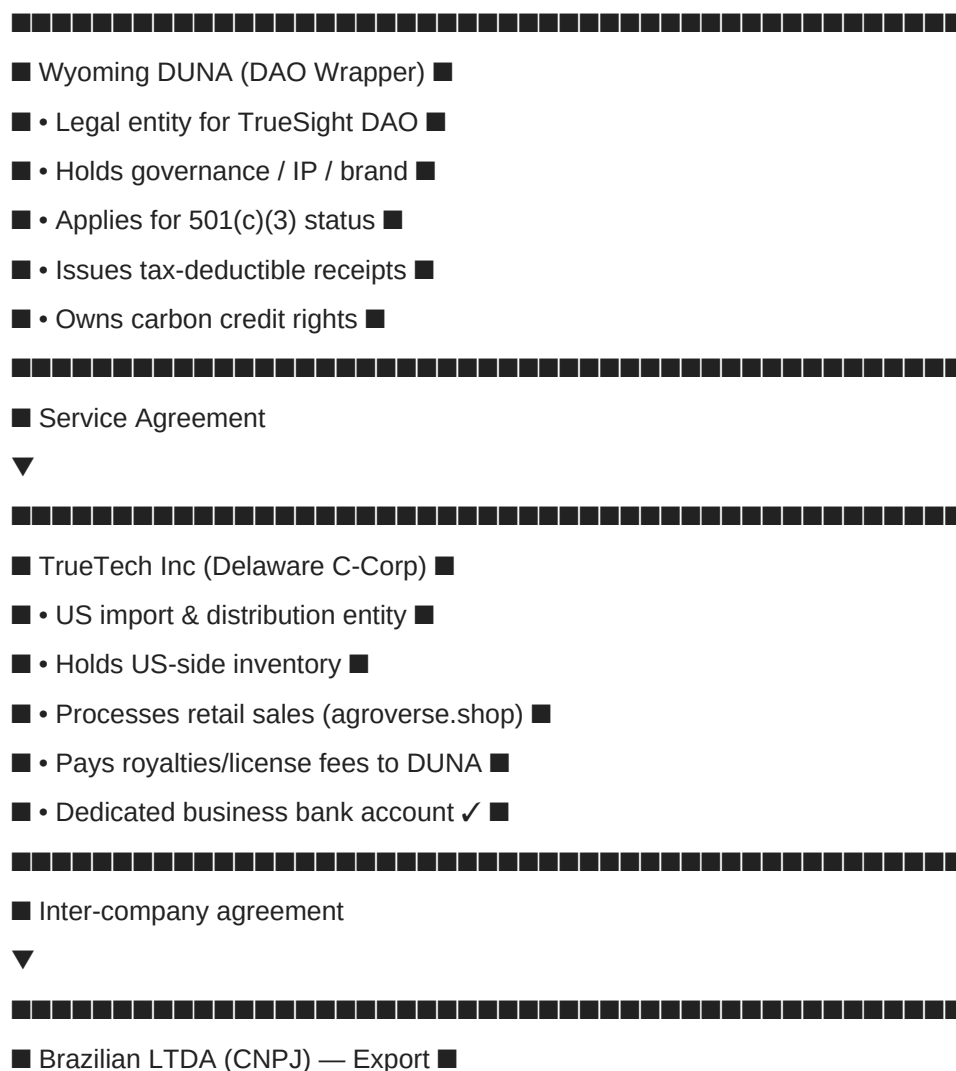
Option D: TrueTech Inc — Dedicated Bank Account (Interim)

Cost: \$0-\$500 | **Time:** 1-2 weeks | **Risk reduction:** Separates personal from business funds.

Limitation: Still cannot issue tax-deductible receipts.

4. Recommended Structure: Three-Entity Stack

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- • Owned by TrueTech Inc or DUNA ■
- • Contracts directly with farmers ■
- • Handles Brazilian export compliance ■
- • Issues NF-e tax receipts ■
- • Manages Brazil-side inventory ■

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How Money Flows

Farmers → Brazilian LTDA (pays farmers, handles Brazil taxes) → Exports cacao → TrueTech Inc (imports, pays duties, holds US inventory) → Sells to retail (agroverse.shop) and wholesale partners (Kopi Bar, etc.) → TrueTech pays license fee / royalty to DUNA → DUNA funds rainforest restoration → Issues tax-deductible receipts to donors.

Nora's Per-Cup → Tree-Planting Flow

1. Kopi Bar sells a cup of cacao
2. Nora transfers \$X per cup to the DUNA (not TrueTech Inc)
3. DUNA issues a tax-deductible receipt to Kopi Bar LLC
4. DUNA funds tree planting in the Amazon
5. Carbon credits generated → held by DUNA → sold to impact funds
6. Impact funds get tax write-offs + verified carbon offsets

5. Phased Implementation Roadmap

Phase 0: Immediate (1-2 weeks) — \$0-\$500

- Open dedicated business checking account for TrueTech Inc — stop commingling funds
- Document current fund flows

Phase 1: Short-term (1-3 months) — \$15K-\$60K

- Form Wyoming DUNA (legal counsel)
- File for EIN, open DUNA bank account
- Draft inter-entity agreement (DUNA ↔ TrueTech)
- Begin IRS 501(c)(3) application process

Phase 2: Medium-term (3-6 months) — \$3K-\$5K

- Form Brazilian LTDA (CNPJ)

- Transfer export operations from Matheus's private entity
- Set up inter-company transfer pricing

Phase 3: Long-term (6-12 months)

- Obtain IRS 501(c)(3) determination letter
- Launch public donation/tree-planting page
- Integrate carbon credit sales into DUNA revenue
- Onboard impact fund partners

6. Ongoing Cost Projections

Entity	Annual Cost
Wyoming DUNA	\$200-\$500
TrueTech Inc (DE C-corp)	\$300-\$500
Brazilian LTDA	\$1,000-\$2,000
Legal counsel (retainer)	\$5K-\$15K
Accounting	\$2K-\$5K
Total ongoing	~\$8,500-\$23,000/year

7. Clarifying Questions for SVH Capital (June 26)

DUNA-Specific

1. Has SVH seen a Wyoming DUNA successfully obtain IRS 501(c)(3) status? Realistic timeline and success rate?
2. Can a DUNA wholly own a for-profit C-corp (TrueTech Inc) as a subsidiary, or must they be separate with a service agreement?
3. Can we use a Wyoming UNA (no minimum members) as a stepping stone that converts to DUNA when we hit 100 members?
4. How does the DUNA's nonprofit status interact with our existing TDG governance token?

Brazil-US Cross-Border

5. Should the Brazilian LTDA be owned by the DUNA (nonprofit) or by TrueTech Inc (for-profit)?
6. What's the recommended transfer pricing methodology for cacao moving from Brazil to US?

Impact Fund

7. For impact funds that want both a tax write-off AND a return, what entity structure accommodates this?

8. Should carbon credits be held by the DUNA or a separate for-profit entity?

Governance

9. With a DUNA wrapper, are DAO governors still personally liable for DAO decisions?

10. Can the DUNA's bank account be controlled by a multi-sig (e.g., Gnosis Safe)?

Practical

11. How long for the full three-entity stack? Critical path items?

12. Rough budget for DUNA + inter-entity agreements?

13. For Nora's use case: is DUNA + 501(c)(3) the cleanest path, or is fiscal sponsorship by an existing 501(c)(3) a simpler interim structure?

8. Recommendation

Immediate (this week): Open a dedicated business checking account for TrueTech Inc.

Before SVH meeting: Review this document and refine the questions.

At SVH Capital (June 26): Lead with Nora's use case — it's the most concrete, urgent signal. Ask the 13 questions above. Gauge SVH's interest in being legal counsel for entity structuring.

Post-meeting: Based on SVH's guidance, decide between DUNA-first or UNA-first path. Budget for Phase 1 legal costs. Begin DUNA formation paperwork.

*Prepared by Sophia (TrueSight DAO Autopilot) for Gary Teh. Full context:
agentic_ai_context/LEGAL_ENTITY_STRUCTURING_PROPOSAL.md*